# Key Performance Indicators

- **Key performance indicator (KPI)**

  A KPI represents a strategic objective and metrics that measure performance against a goal
- Unique features of KPIs
  - Strategy
  - Targets
  - Ranges
  - Encodings
  - Time frames
  - Benchmarks

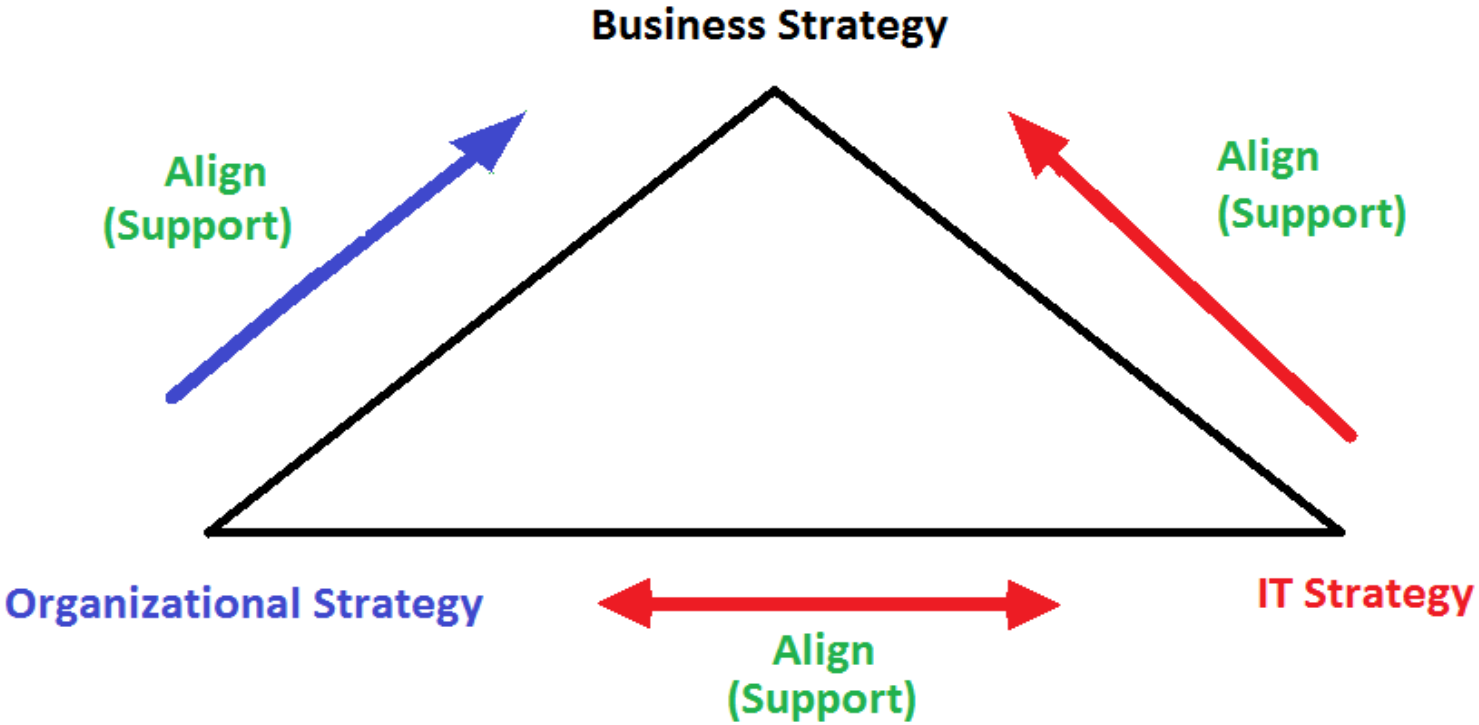
# Key Performance Indicators

- **Key performance indicator (KPI)**

| Outcome KPIs | vs. | Driver KPIs |
|---|---|---|
| (lagging indicators e.g., revenues) | | (leading indicators e.g., sales leads) |

- Operational areas covered by driver KPIs
  - Customer performance
  - Service performance
  - Sales operations
  - Sales plan/forecast

# Business Strategy Triangle



# What is a "Strategy?"

- Coordinated set of actions to fulfill objectives, purposes, or goals
- It sets limits on what the organization seeks to accomplish
- Starts with a mission

| Company | Mission Statement |
|---|---|
| **Zappos** | To provide the best customer service possible. Internally we call this our WOW philosophy. |
| **Amazon** | We seek to be Earth's most customer-centric company for three primary customer sets: consumer customers, seller customers and developer customers. |
| **L.L. Bean** | Sell good merchandise at a reasonable profit, treat your customers like human beings and they will always come back for more. |

# What is a business strategy?

- It is where a business seeks to go and how it expects to get there
- It is not a business model, although it includes business models as one component of a business strategy
- Business models include subscriptions, advertising, licenses, etc.
- Business models do not include where the business seeks to go, and only the revenue portion of how it expects to get there

# Generic Strategies Framework

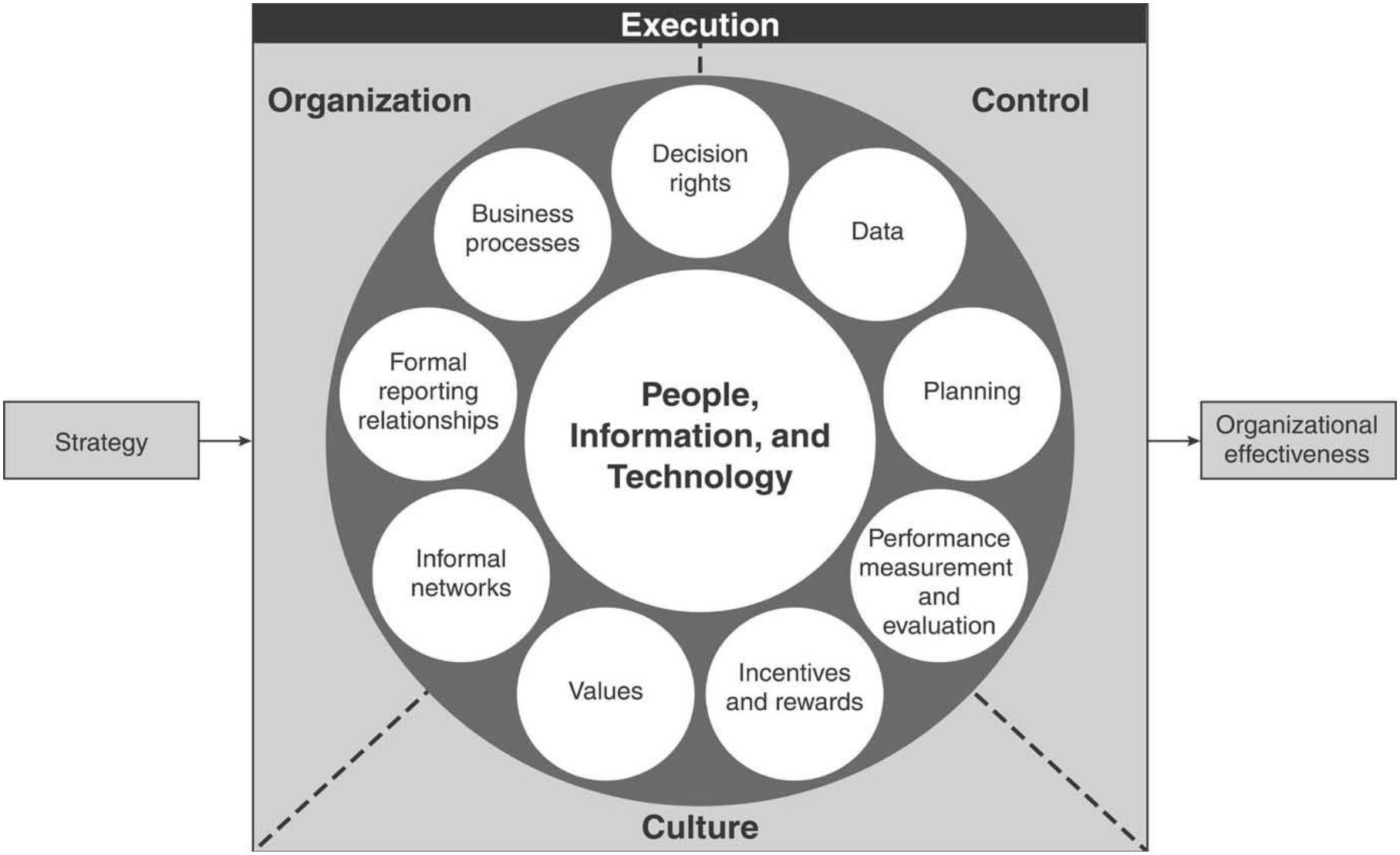
- Michael Porter: How businesses can build a competitive advantage
- Three primary strategies for achieving competitive advantages:
  - Cost leadership – lowest-cost producer.
  - Differentiation – product is unique.
  - Focus – limited scope – can accomplish this via cost leadership or differentiation within the segment

# Three Primary Strategies

| | Strategic Advantages | | |
|---|---|---|---|
| Strategic Target | | Uniqueness Perceived by Customer | Low Cost Position |
| | Industry Wide | Differentiation<br>Apple | Cost Leadership<br>Wal-Mart |
| | Particular Segment Only | Focus<br>Ritz Carlton | Marriott |

# Organizational Strategy

- What is organizational strategy?
  - Organizational design and
  - Choices about work processes
- How do you manage organizational, control, and cultural variables?
  - Managerial Levers model
    - Organizational, control and culture variables are managerial levers used by decision maker to effect changes in the organization




**Managerial Levers Model**

# IT Strategies

- What is an IT Strategy?
  - The plan an organization uses in providing information services
- Four key IT infrastructure components

| | What | Who | Where |
|---|---|---|---|
| **Hardware** | The physical devices of the system | System users and managers | Physical location of devices (cloud, datacenter, etc.) |
| **Software** | The programs, applications, and utilities | System users and managers | The hardware it resides on and physical location of that hardware |
| **Networking** | The way hardware is connected to other hardware, to the Internet and to other outside networks. | System users and managers; company that provides the service | Where the nodes, wires, and other transport media are |
| **Data** | Bits of information stored in the system | Owners of data; data administrators | Where the information resides |

# Social Strategy

- Collaboration
  - Extend the reach of stakeholders to find and connect with one-another
- Engagement
  - Involve stakeholders in the business via blogs; communities
- Innovation
  - Identify, describe, prioritize new ideas

# IT Assets and Capabilities

- Information resources as strategic tools
  - IT assets and capabilities (not just assets!)

**IT Assets**

- IT infrastructure
  - Hardware
  - Software and company apps
  - Network
  - Data
  - Website
- Information Repository
  - Customer information
  - Employee information
  - Marketplace information
  - Vendor information

**IT Capabilities**

- Technical Skills
  - Proficiency in systems analysis
  - Programming and web design skills
  - Data analysis/data scientist skills
  - Network design and implementation skills
- IT Management Skills
  - Business process knowledge
  - Ability to evaluate technology options
  - Project management skills
  - Envisioning innovative IT solutions
- Relationship Skills
  - Spanning skills such as business-IT relationship management
  - External skills such as vendor management

# IT Assets

- Infrastructure
  - Information, technology, people and processes available to perform business processes and tasks (not just technology!)
  - Might even include resources not owned by the firm (e.g., eBay, Facebook, LinkedIn)
- Information repository
  - Data captured, organized, and retrievable by the firm

# IT Capabilities

- Technical Skills (designing, developing, implementing IS)
- Management Skills (managing the IT function and IT projects)
- Relationship Skills
  - Outside the organization (vendors, customers)
  - Within the organization (managers)

# Sustainability

- Attaining competitive advantages is one thing
  - A firm often exploits rare and valuable resources
- Sustaining competitive advantages is another thing
  - Resources must be difficult to transfer or relatively immobile

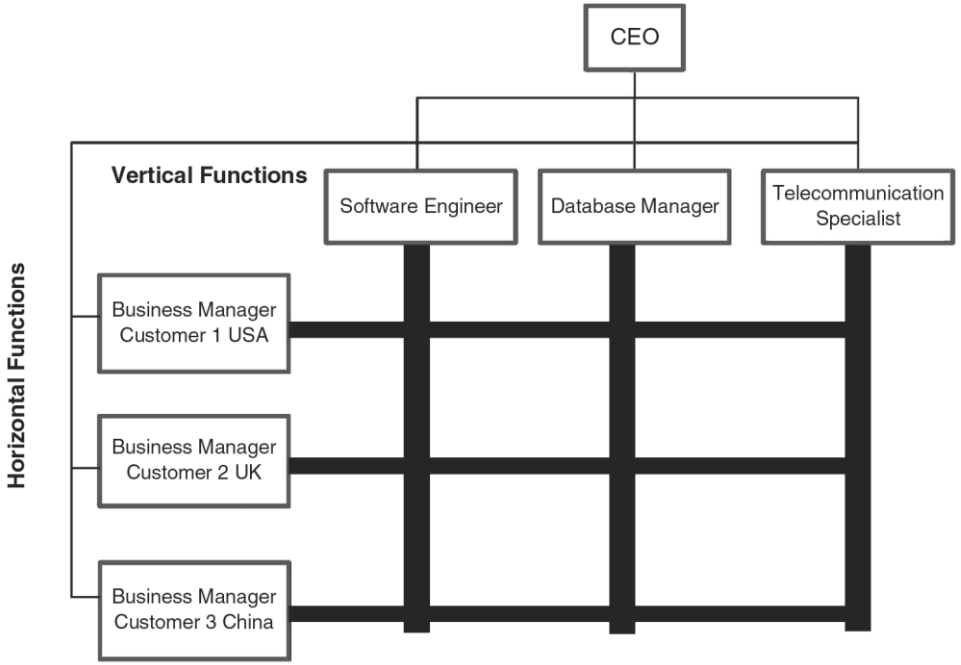
# Resource Based View

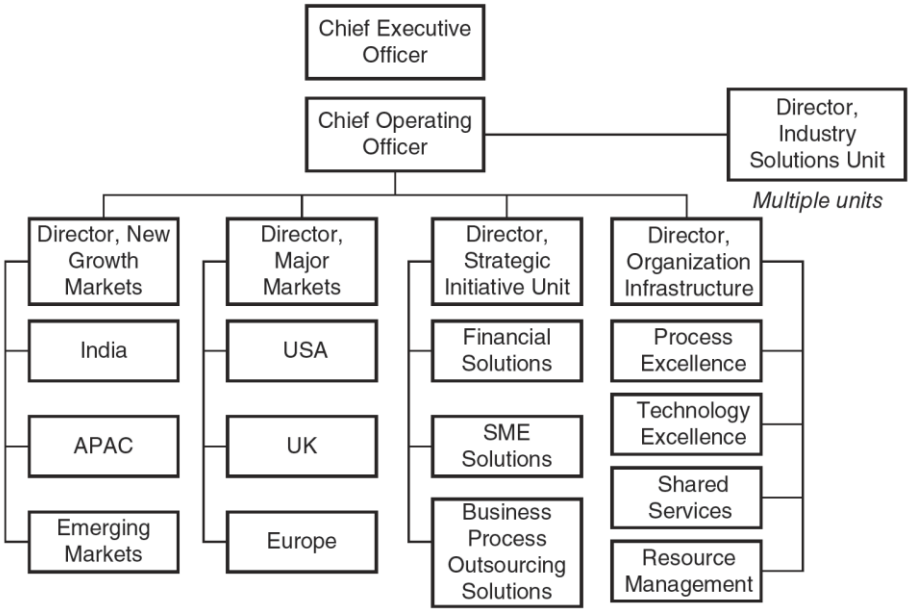
- Resource-based view (RBV)
  - A managerial framework used to determine the strategic resources with the potential to deliver comparative advantage to an organization
  - Involving all information resources (IT assets & IT capacities)

# CTS vs TCS

- Both companies are IT consulting/outsourcing firms but have different business strategies
- Cognizant Technology Solutions (CTS)
  - Currently focusing on complex relationship-based solutions
  - The goal was “extremely close partnerships”, needed to be responsive enough to customers
  - Main problem: lack of necessary information flows between software engineers and client customer service managers
  - Adopted a matrix structure to allow functional managers to interact with business managers
- Tata Consultancy Services (TCS)
  - Current focusing on customer and revenue growth
  - The goal was to be nimble and agile
  - Adopted decentralized structure heavy on markets and strategic initiatives

# CTS vs TCS




Cognizant

Tata

| Variable | Description |
|---|---|
| ***Organizational variables*** | |
| Decision rights | Authority to initiate, approve, implement, and control decisions necessary to plan and run the business |
| Business processes | Ordered tasks to complete key business objectives |
| Formal reporting relationships | Structure set up to coordinate organizational units |
| Informal networks | Mechanism, such as ad hoc groups, to coordinate and transfer information outside formal reporting relationships. |
| ***Control variables*** | |
| Data | Facts collected, stored, and used by the organization |
| Planning | Processes by which future direction is established, communicated, and implemented |
| Performance measurement and evaluation | Measures to assess successful execution of plans then using the measures to improve the quality of work |
| Incentives | Monetary and non-monetary devices to motivate behavior |
| ***Cultural variables*** | |
| Values | Implicit and explicit beliefs that underlie decisions and actions |
| Locus | The span of culture: local, national, regional, etc. |

# Organizational Design

- Different designs accomplish different goals
- Decision rights will differ according to the design
- Different reporting relationships and organizational structure will allocate decision rights in different ways
- Four major organizational designs are:
  - Hierarchical
  - Flat
  - Matrix
  - Networked

# Comparison of Organizational Structures

| | Hierarchical | Flat | Matrix | Networked |
|---|---|---|---|---|
| **Description** | Bureaucratic w/ defined levels of management | Decision-making pushed down to lowest level | Workers assigned to 2 or more supervisors | Formal/informal communication networks that connect all |
| **Characteristics** | Division of labor specialization, unity of command | Informal roles; often small, young organizations | Dual reporting based on function/purpose | Known for flexibility and adaptability |
| **Type of Environment Best Supported** | Stable<br>Certain | Dynamic<br>Uncertain | Dynamic<br>Uncertain | Dynamic<br>Uncertain |
| **Basis of Structuring** | Primary functional | Very loose | Functions and purpose | Networks |
| **Power Structure** | Centralized | Decentralized | Distributed | Distributed |
| **Key Tech. Supporting this** | Mainframe, centralized data and processing | PCs | Networks | Intranets and Internet |

# New Options

- Social networks for
  - Finding experts
  - Getting to know colleagues
  - Seeing who has relevant experience for projects across functions and geography
- Virtual teams – geographically and/or organizationally dispersed coworkers
  - Assembled using telecommunications and IT
  - The aim is to accomplish an organizational task